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ATTENTION

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Standard Form 901 (11-18)
Prescribed by GSA/ISOO | 32 CFR 2002

CUI

**JUSTIFICATION REVIEW DOCUMENT
OTHER THAN FULL AND OPEN COMPETITION**

PROJECT/EQUIPMENT: A ten (10) year period of performance to provide electrical utility services to the Tensas-Cocodrie Pumping Plant (TCPP).

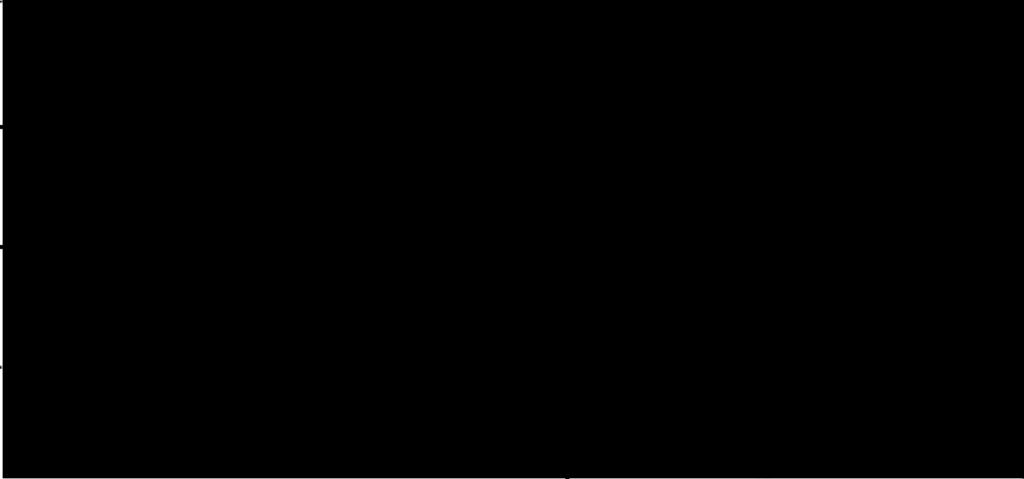
CONTROL NO: MVK-2024-0055

AUTHORITY: Title 10 United States Code 3204(a)(1) as implemented by FAR 6.302-1(b)(3)

This is a subsequent J&A

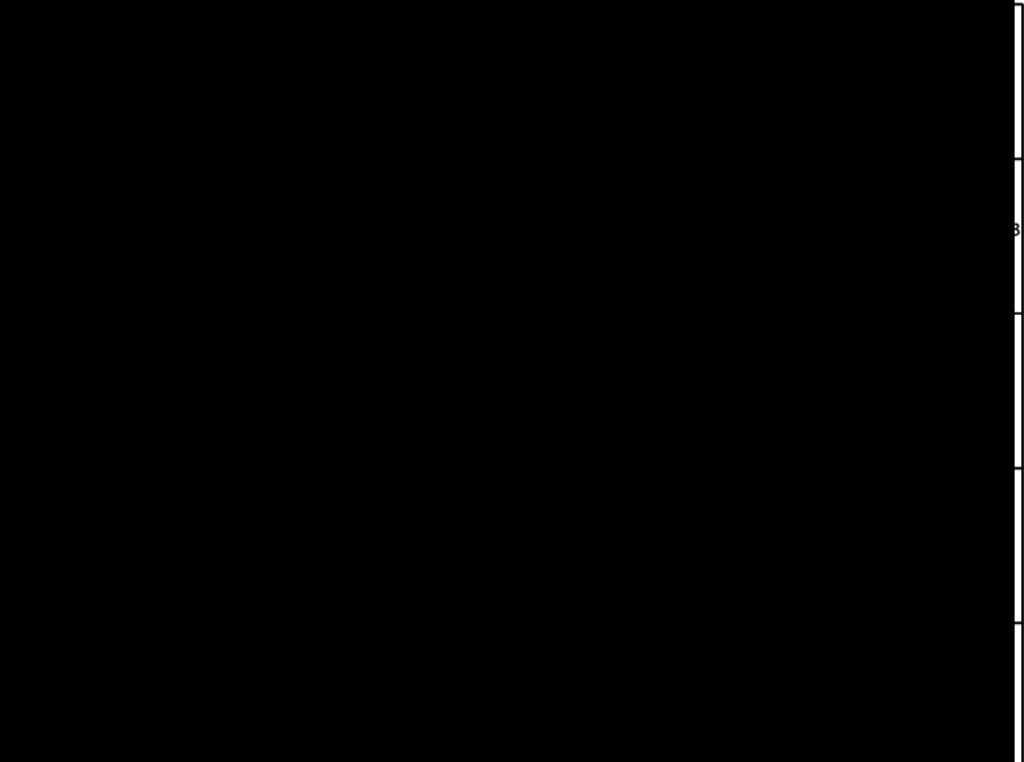
Non-competitive Value of Contract Prior to this J&A: N/A

Non-competitive Value of this Requirement: \$3,600,000

PREPARED BY: CONTRACT SPECIALIST	
CONTRACTING OFFICER	
TECHNICAL	
REQUIREMENTS	

SIGNATURES ARE REQUIRED BELOW:

I have reviewed this J&A and find the justification adequate to support other than full and open competition.

DISTRICT SMALL BUSINESS SPECIALIST	
PROJECT MANAGER	
DISTRICT COUNSEL	
DISTRICT CONTRACTING CHIEF	
SCO COUNSEL	

Justification and Approval
for Other than Full and Open Competition

1. Contracting Activity: The U.S. Army Corps of Engineers (USACE), Vicksburg District (MVK), Contracting Office, 4155 Clay Street, Vicksburg, MS 39183-3435.

2. Description of Action: The USACE, MVK Contracting Office is seeking approval of a sole source Firm Fixed Negotiated Utility contract with Concordia Electric Cooperative, Inc., for a ten (10) year period of performance to provide electrical utility services to the Tensas-Cocodrie Pumping Plant (TCPP) using Operations and Maintenance (O&M) funds current at the time the services are rendered. Each fiscal year will be funded with O&M funds for services rendered during the applicable fiscal year. The total estimated amount for this requirement is \$3,600,000 for all 10 years combined.

TCPP is operated by the U.S. Army Corps of Engineers, Vicksburg District and currently pays Concordia Electric Cooperative, Inc., on average, \$25,000 monthly for electrical utility services under normal operating conditions in accordance with a utility service contract initiated in 2015: W912EE-15-C-0004.

A review of the historical billing records was conducted to evaluate an estimated monthly cost that include energy charges and O&M fixed charges only. Electrical utility services under normal operating conditions for this new contract are estimated at \$360,000 annually, with an estimated monthly minimum charge of \$30,000. This does not include taxes, regulatory assessments, & demand charges for pumping operations. The subject contract will be incrementally funded monthly with obligations made based on the monthly utility bill.

TCPP is unique because it only pumps when a major flood occurs, therefore costs are significantly low. In the event of an emergency, a seventy-two (72) hour notice will be provided (to the maximum degree possible) and payment will be made at the actual cost of power provided during the event, to include any adjustments allowed (fuel adjustment, etc.)

3. Description of Supplies/Services: This contract will provide electrical utility services for the TCPP. The TCPP is a part of the Tensas Basin, Red River Backwater, LA, project that provides flood protection from the mainline Mississippi River levee on the west bank in the vicinity of Shaw, LA, westward and northward to the vicinity of Newlight, LA, for the protection of that part of the Red River Backwater area known as the Tensas-Cocodrie Area, and for the protection of the larger flood plain, without jeopardizing the safety and integrity of the main Mississippi River levee.

4. Authority Cited: Authority for use of procedures other than competitive procedures is provided at Title 10 United States Code 3204(a)(1) as implemented by Federal Acquisition Regulation (FAR) 6.302-1(a), Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements.

5. Reason for Authority Cited: The proposed procurement meets the criteria for exclusion from full and open competition under the authority cited. The proposed acquisition must be accomplished through other than full and open competition because Concordia Electric Cooperative, Inc. is the only vendor capable of satisfying agency requirements.

Background:

FAR 6.302-1(b)(3) provides that use of this authority may be appropriate when acquiring utility services and circumstances dictate that only one supplier can furnish the service. As stated above in the description of services, the TCPP controls water levels in a basin near four major rivers including the Mississippi River. The plant consists of five very large three-story electric pumps. Other than routine testing, the pumping plant does not operate until a flood event occurs. When this pumping plant is called upon to provide flood risk reduction via pumping operations, it must be 100% operational as flood waters that enter the Tensas-Cocodrie area have no place to go once the trigger points are met. A critical element to the operations of the TCPP is the reliability of the electrical service to the 3000 hp pump motors.

Impacts:

The TCPP is an integral part for the flood protection project for the Tensas Basin, Red River Backwater area, authorized by the Flood Control Act and Water Resources Development Act as implemented by Congress. The project provides flood protection from the mainline Mississippi River levee on the west bank in the vicinity of Shaw, LA, westward and northward to the vicinity of Newlight, LA, for the protection of that part of the Red River Backwater area known as the Tensas-Cocodrie Area, and for the protection of a larger area without jeopardizing the safety and integrity of the main Mississippi River levee. Flood damage reduction measures include authorized extensions to the project providing loop levees and appurtenant drainage facilities in the Larto Lake to Jonesville area, below Red River area; in the Sicily Island area; and a 4,000-cubic-foot-per-second pumping plant in the Tensas-Cocodrie area, as well as the Fools River and HaHa Bayou Pumping Plants.

Without the pumping plant, when the water levels rise above the trigger point, flooding would occur within the Boeuf Tensas Basin, causing devastating backwater flooding that may result in significant economic impacts upon the property and lives of project sponsors, stakeholders and citizens residing in the impacted flood plain.

It is the district's intent to award a ten (10) year utility service contract pursuant to the authority delegated to DoD by GSA as referenced in FAR 41.103(b). Re-entering into ongoing discussions with Concordia Electric Cooperative Inc., can potentially allow the government to achieve even more cost savings. Furthermore, Concordia Electric Cooperative, Inc., shall receive this award as there are no other businesses that can provide such services.

Justification:

Concordia Electric Cooperative, Inc., is the only electrical utility provider in Concordia and Tensas Parish authorized by the Louisiana Public Service Commission (LPSC) to provide the necessary electrical services required to operate the TCPP; therefore, pursuant to (FAR) 6.302-1(b)(3), they are the only responsible source authorized and geographically capable of meeting this requirement, and no other supplies or services will satisfy the agency requirements.

Alternatives:

There are no acceptable alternatives available to the Government. As stated above Concordia Electric Cooperative, Inc., is the only utility provider in Concordia and Tensas Parish authorized by the LPSC.

6. Efforts to Obtain Competition: No efforts were made to obtain competition since Concordia Electric Cooperative, Inc., owns the lines that power the facility and is the only electrical utility provider authorized by LPSC to provide electrical services in the Concordia and Tensas Parishes. The proposed contract will not be synopsisized, per FAR 5.202(a)(5). The contracting officer need not submit the notice of the proposed action when “the proposed contract action is for utility services other than telecommunications services and only one source is available.”

7. Actions to Increase Competition: As outlined in the finding from the market research below, competition is unlikely to produce meaningful benefits to the Government. Concordia Electric Cooperative, Inc. owns the lines that power the facility, and they are the only electrical provider authorized by LPSC to provide electrical services in the Concordia and Tensas Parishes. There are no other electrical providers in the service area that can provide this service.

8. Market Research: Concordia Electric Cooperative, Inc., is a cooperative company where ownership and control is in the hands of the members. They provide electrical services to parts of eight parishes in the state of Louisiana. System for Award Management (SAM) search indicates that registration is valid until 27 November 2024 and contractor has been notified to update their SAM registration. Email correspondence has been uploaded in PCF. No other market research was conducted as this is a utility service provider and there are no other sources capable of providing the utility.

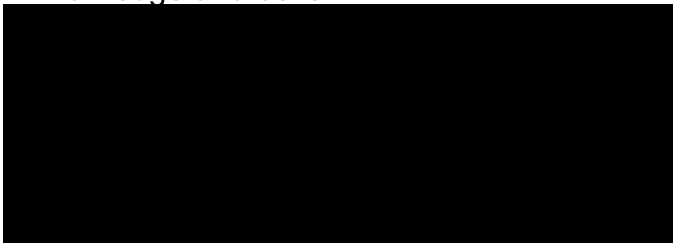
9. Interested Sources: In accordance with FAR 5.202(a)(5), the contracting officer will not submit a notice of the proposed contracting action because the proposed contract action is for utility services other than telecommunications services and only one source is available. Therefore, no listing of the interested sources will be produced.

10. Other Factors:

- a. **Procurement History:** Electrical utility services were previously provided for this requirement under contract DACW38-84-C-0039, awarded on 17 Feb 1984. Pursuant to the terms of that contract, the Government was obligated to a minimum monthly charge of \$53,978 plus energy usage at the monthly metered rate. Contract DACW38-84-C-0039 was terminated on 31 March 14, and MVK negotiated and entered into a temporary, bridge contract W912EE-14-P-0030 effective 01 Apr 14 with a performance period not to exceed one year.
- b. **Procurement History:** W912EE-15-C-0004 was a sole source ten (10) year contract awarded to Concordia Electric Cooperative, Inc. on 27 February 2015 by MVK Contracting Office. The period of performance was 27 February 2015 – 26 February 2025 with an estimate of \$2,340,000.

The past requirement was not competed because no other source had the capability to provide the services. Justification and Approval MVK-15-0001 signed by COL Kevin P. Stoddard, USA, Special Competition Advocate is attached in accordance with Defense Federal Acquisition Regulations (DFARS) PGI 206.304.

11. Technical Certification: I certify that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.



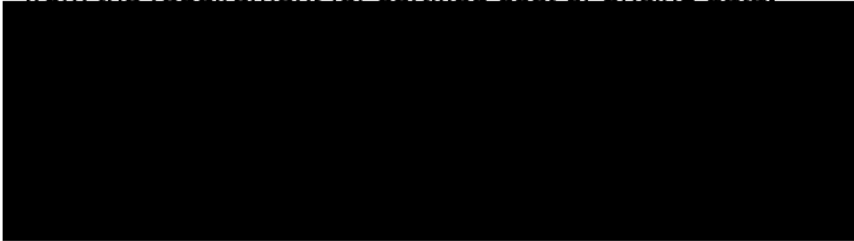
12. Requirements Certification: I certify that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.



13. Fair and Reasonable Price Determination: I hereby determine that the anticipated cost to the Government for this action will be fair and reasonable Price

reasonability is anticipated because their prices are regulated by the Louisiana Public Service Commission. The Louisiana Public Service Commission is an independent regulatory agency dedicated to serving the public interest by assuring safe, reliable, and reasonably priced services provided by public utilities and motor carriers.

Pursuant to the FAR definition at 2.101, DFAR 212.102, PGI. 102 and AFARS 5112.102, the Supply of Electricity and Distribution of Electrical Power has been determined to be Commercial in nature and commercial item D&F has been uploaded to file. Therefore, in accordance with FAR 15.403-1(b)(3) Commercial items are exempt from the requirement for certified cost or pricing data.



14. Contracting Officer Certification: I certify this justification is accurate and complete to the best of my knowledge and belief.



Approval

Based on the foregoing justification, I hereby approve the procurement of electrical utility services for the Tensas-Cocodrie Pumping Plant (TCPP) in the estimated amount of \$3,600,000 on an other than full and open competition basis pursuant to the authority of 10 U.S.C 3204(a)(1), subject to the availability of funds, and provided the services herein described have otherwise been authorized for acquisition.

